

Tax incidence

Tax incidence is the study of who ultimately bears the burden of a tax; this can be different from who formally pays the tax authorities. When people talk about companies passing on taxes to customers through higher prices, this is what they are referring to (see [Taxing corporations](#)). Suppose the government levies a tax on paint – the tax acts like a production cost, so it causes manufacturers to supply less paint. Lower supply in turn leads to a higher price, so both the buyer and the seller lose out: the seller doesn't sell as much and the buyers pay more. Suppose now that buyers are fairly insensitive to price changes, perhaps because there are few alternatives to using paint. If they are less sensitive to price changes than the suppliers, they will be willing to bear more of the burden of the tax, so a larger share of the tax can be passed onto them without affecting demand too much. Conversely, if buyers are sensitive to price rises – perhaps they are willing to buy wallpaper instead of paint – then the seller will have to bear most of the tax impact.

